in which the problem does not arise in mature market economies: If an individual falsely claims taxes deducted at source, there is a small probability of getting caught and of very large penalties. Mature market economies did not have the problem that we were trying to solve.

The TIN was implemented and it was a great success. This example shows a sound approach to doing public policy in India: understand local conditions, and engage in first-principles problem solving. The solutions adopted here will often diverge from those seen elsewhere.

The way forward

We require a creative stage where we propose possible solutions. The international experience is a useful source of early-stage candidates for this funnel. As an example, when we discover that in Brazil, public sector banks have been channelled exclusively into financial inclusion work, we should think: *How interesting, could that possibly be useful in India?* We should also design from the ground up, exploring policy pathways that are unique to India.

All these candidates should go into a process of envisioning that is deeply grounded in the Indian context. In this analysis, we will often discover that a policy initiative that succeeded elsewhere is likely to fail in India, and vice versa.

The simple description of international experience, drawn from websites or from practical experience, is not useful for policy analysis in India. Sound policy analysis in India requires authenticity. It calls for deep experiential local knowledge (metis). The most valuable people in the Indian policy story are those who have authentic knowledge of India, and are able to imagine and envision how policy choices will play out in the Indian setting.

This calls for intellectual capacity in the Indian policy process. It is useful to think of three levels of intellectual capacity.